

CEG Q1_2026 Earnings Call - Full Transcript

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[00:00:00.46] Good morning, ladies and gentlemen, and welcome to the Constellation Energy Corporation first
[00:00:05.66] quarter 2026 earnings conference call. At this time, all participants are in a listen-only mode.
[00:00:13.66] Later, we will conduct a question and answer session and instructions will follow at that time.
[00:00:19.90] As a reminder, this call may be recorded. I would now like to introduce your host for today's call,
[00:00:26.86] Tim Flodemish, Vice President Invest Relation. You may begin.
[00:00:34.06] Thank you, Daniel. Good morning, everyone, and thank you for joining Constellation Energy
[00:00:38.46] Corporation's first quarter earnings call. Leading the call today are Joe Dominguez,
[00:00:43.42] Constellation's President and Chief Executive Officer, and Shane Smith, Constellation's Chief
[00:00:48.06] Financial Officer. They are joined by other members of Constellation's senior management team who
will
[00:00:53.26] be available to answer your questions following our prepared remarks. We issued our earnings
[00:00:58.86] release this morning along with the presentation, all of which can be found in the Invest Relation
[00:01:03.74] section of Constellation's website. The earnings release and other matters which are discussed
[00:01:09.02] during today's call contain forward-looking statements and estimates regarding Constellation
[00:01:13.74] and its subsidiaries that are subject to various risks and uncertainties. Actual results could
[00:01:19.10] differ from our forward-looking statements based on factors and assumptions discussed
[00:01:23.18] in today's materials and comments made during this call. Please refer to today's 8K and
[00:01:28.86] Constellation's other SEC filings for discussions of risk factors and other circumstances and
[00:01:34.70] considerations that may cause results to differ from management's projections,
[00:01:38.86] forecasts, and expectations. Today's presentation also includes references to adjusted operating
[00:01:44.46] earnings and other non-GAAP measures. Please refer to the information contained in the
[00:01:49.66] appendix of our presentation and our estimates by our earnings release for reconciliations
[00:01:54.86] between non-GAAP measures and the nearest equivalent GAAP measures. I'll now turn the
[00:01:59.26] call over to Joe. Thanks, Tim. Good morning, everyone. I hope you enjoyed a wonderful
[00:02:04.30] Mother's Day celebrating the great moms in our lives. Thanks for joining us today and for your
[00:02:10.30] continued interest in Constellation. Our prepared remarks this morning will be relatively brief.
[00:02:16.46] We spent a good amount of time with you just over a month ago when we shared our business
[00:02:21.26] and earnings outlook so we could be more efficient with your time today. I'll begin by summarizing
[00:02:26.78] the key messages from the business update and then talk about the quarter, some of our
[00:02:32.62] generation development activities, and the PJM regulatory landscape. First and foremost,
[00:02:38.70] I want to remind you that our long-term outlook is compelling with a base earnings growth rate
[00:02:43.98] that exceeds 20% through 2029, anchored by highly visible drivers that include the nuclear
[00:02:50.62] production tax credit, which grows with inflation, long-term contracts with high quality
[00:02:56.54] counterparties, and durable customer margins supported by the nation's largest commercial
[00:03:02.86] and industrial retail platform. We also have conviction that we could grow the business
[00:03:08.54] at a long-term rolling 10% plus base EPS growth rate, which we see as a common characteristic
[00:03:16.22] of high quality and well-valued companies. Further, our outlook is arguably conservative
[00:03:22.70] through 2029 with considerable levers to drive upside that are quantified on page 13 of this
[00:03:30.22] deck. You will see that this is an updated version of page 23 of the business update that we reviewed
[00:03:37.10] last month, which so many of our owners told us that they liked. As Shane will cover in more
[00:03:42.94] detail, some of the opportunities include additional long-term off-takes for data center customers
[00:03:49.58] at our nuclear and gas plants, as well as with customers wanting clean firm and reliable power
[00:03:56.06] with price visibility, higher utilization of our gas fleet due to rising around-the-clock demand,
[00:04:03.58] positive gearing to higher than 2% inflation through the nuclear PTC construct, and finally,
[00:04:11.34] the benefit of higher returns on our strong and growing free cash flow. The second big
[00:04:17.74] storyline here is the mix of our base and enhanced earnings. The Calpine business brings

[00:04:25.38] high quality, visible earnings to Constellation, supporting our growth outlook and reinforces
[00:04:31.94] the value of bringing these two companies together. Lastly, I would call out here
[00:04:38.58] the free cash flow outlook, which upon reflection, we could have probably done a better job of when
[00:04:45.38] we provided the business outlook, but we've provided the updated numbers now on page 13.
[00:04:51.22] Much like the strong EPS growth, we see similar growth in our free cash flow outlook with the 26,
[00:04:58.58] 27 period producing a forecast at \$8.4 billion and the 28, 29 period rising to \$11.5 to \$13 billion
[00:05:08.26] before the levers I just mentioned. We will have significant opportunity to productively deploy
[00:05:14.50] capital over the balance of the decade to drive value. Turning to slide six and the quarterly
[00:05:20.66] results, I want to, as I always do, first start out by thanking the women and men here at Constellation
[00:05:26.98] for their dedication and for delivering another strong operational and financial performance
[00:05:32.82] quarter. We posted first quarter gap earnings of \$4.49 per share and adjusted operating earnings
[00:05:40.82] of \$2.74 per share. Based on our performance year to date and our outlook for the remainder of the
[00:05:48.50] year, we are affirming our full year adjusted operating earnings guidance range of \$11 to \$12
[00:05:55.38] per share. Shane will cover the details in his section. Since we last spoke, we move quickly to
[00:06:02.02] get back into the market, buying our stock in a pretty narrow window. Over the past few weeks,
[00:06:08.50] we have successfully repurchased approximately 1.2 million shares at an average price of roughly
[00:06:15.38] \$285 per share for a total of \$335 million of purchases. These purchases underscore our
[00:06:24.26] commitment to discipline capital allocation and our confidence in the long-term value of the business.
[00:06:32.58] The buyback was an intentional statement from management and our board that we are excited
[00:06:37.70] about the growth opportunities ahead, but that at these prices we see our stock as a compelling
[00:06:43.94] use of our cash. We were excited to be named Barron's 2026 most sustainable U.S. company in
[00:06:51.94] the quarter, ranking number one among the thousand largest publicly traded companies in the United
[00:06:59.14] States. This recognition is based on an evaluation of more than 230 performance indicators measuring
[00:07:07.14] how companies treat a broad range of stakeholders, including their employees, their owners,
customers,
[00:07:14.66] communities, and of course the environment. Being recognized by Barron's as the most sustainable
[00:07:21.22] U.S. company is a very, very big deal to us and it validates our approach to doing business.
[00:07:28.82] At Constellation, we have a culture of doing hard things and doing them well. Despite an
[00:07:35.54] increasingly challenging market environment for new development, this quarter we successfully
[00:07:41.14] delivered two new generation projects to the grid, demonstrating our ability to execute and deliver
[00:07:47.94] when it matters. First, we placed the 105 megawatt Pastoria solar project into service.
[00:07:56.02] This solar project is next to a combined cycle machine of over 750 megawatts at the same location
[00:08:03.62] and it's the first part of a combined solar and battery storage project that supports the
[00:08:09.54] California Department of Water Resources goal of achieving carbon neutrality by 2035. And it
[00:08:16.74] further strengthens Constellation's leading position as the largest producer of carbon-free
[00:08:23.22] energy in the country. Second, we commence commercial operations at our 460 megawatt
[00:08:30.98] Peno Creek natural gas peaking facility in Texas. Designed for rapid startup, Peno Creek will provide
[00:08:38.98] critical peak demand support and enhance grid reliability during periods of elevated electricity
[00:08:45.62] demand. Together, these projects demonstrate Constellation's ability post the Calpine
[00:08:51.70] acquisition to execute on complex development efforts and deliver new generation that meets
[00:08:58.74] the evolving needs of both our customers and the grid. On the transaction front, last week we
[00:09:06.02] received PUCT approval of the net metering agreement associated with our powered land deal
[00:09:12.34] with Cyrus One at the Freestone Energy Center. This approval is an important signal to the market
[00:09:20.45] regarding expectations for co-located projects going forward. Construction is currently underway
[00:09:27.49] on the substation that will enable power delivery to the data center, which we expect to be energized
[00:09:33.57] in the fourth quarter of this year. Turning to slide seven, we are making good progress
[00:09:41.09] on regulatory clarity in PJM. PJM has put forward a market-based solution to address the incremental
[00:09:48.37] capacity needs driven by large load customer growth, creating a pathway with options for
[00:09:55.73] customers to manage their capacity requirements and cost exposure. There have been constructive
[00:10:02.93] conversations with stakeholders since the release of the initial proposal. While we expect to see
[00:10:09.01] further refinements over the coming weeks, PJM has established a proposed timeline for providing
[00:10:14.85] clarity on when it expects to vote on the final framework with the goal of submitting the proposal
[00:10:20.77] to FERC in June. Frankly, this is faster than we had hoped and having this defined timeline
[00:10:29.01] and a pathway to final rules will provide greater certainty for market participants

[00:10:34.13] as they plan and invest. Clarity is critical to unlocking economic expansion across the [00:10:41.57] mid-Atlantic and Midwest regions by providing a clear path for new large loads to connect to the [00:10:47.89] grid. We think this is a great opportunity for robust economic development in our states, [00:10:55.25] providing the benefits of meaningful construction jobs, ongoing employment, property tax, and local [00:11:01.97] community support while helping to advance the most important economic and national security [00:11:09.25] we have as a country. We are also excited for the customers in our states, both residential and [00:11:16.13] commercial, who are paying the high cost of fixed grid infrastructure. By bringing on these large [00:11:23.81] loads and by being more dynamic and managing peak usage, we have a real opportunity to improve system [00:11:31.17] utilization and lower the average hourly usage cost for all customers. On the contracting front, [00:11:40.29] customer engagement has varied as PJM works through these policy issues. As I mentioned during our [00:11:48.13] last update, some customers have been willing to continue advancing project discussions and [00:11:55.33] agreement negotiations while others have chosen to pause and wait for regulatory clarity. [00:12:02.13] That's why I'm pleased to see PJM moving forward so quickly to address this need for clarity. [00:12:09.01] The backstop proposal needs to happen on the timeline PJM has laid out and PJM has to replicate [00:12:17.25] that timeline on the co-location document. Last year, there was a prevailing concern that Senate [00:12:24.93] Bill 6 in Texas would significantly constrain data center development NERCOT. Instead, once the [00:12:32.13] requirements were established for co-locating new load with Generation, we began to see transactions [00:12:38.53] come forward. We expect to see the same thing in PJM. The bottom line is that customers want to [00:12:47.01] get their data centers online as quickly as they can. They need regulatory clarity for that to [00:12:53.89] happen and once the options are understood, they will make the decisions that work for their [00:12:59.65] specific needs. We will continue to work with PJM to help shape the rules to support economic growth, [00:13:06.93] protect residential customers, and to stabilize and perhaps actually lower costs for all Americans. [00:13:15.49] Turning to slide 8, one point that has remained clear is that demand for additional [00:13:20.85] compute and by extension additional power has not slowed from hyperscaler customers. [00:13:28.13] In fact, projected spending levels for 2026 are nearly 75 percent higher than last year [00:13:35.73] and continue to be revised upward. There is also a growing recognition that reliability [00:13:42.85] must be supported and done in a way that does not burden existing customers. Constellation [00:13:49.57] is well positioned to provide solutions for our customers. We have submitted approximately [00:13:55.33] 5,000 megawatts of new capacity resources into PJM's interconnection queue, including unique [00:14:03.73] nuclear upgrades, new natural gas generation, and new battery storage projects. As customers look [00:14:11.65] to contract new capacity to offset incremental demand at peak, we have a diverse set of projects [00:14:19.57] that align well with PJM's proposed framework and can meet those needs. If a customer prefers [00:14:26.21] to participate in demand response or enable participation through third parties, we can [00:14:31.49] provide those solutions as well through our retail business. We are highly motivated to identify [00:14:38.61] and provide workable capacity solutions for both customers and for the broader market. [00:14:45.09] Ultimately, our objective is to unlock the full value of our clean firm energy [00:14:50.69] and associated attributes in a way that benefits all stakeholders. Turning to slide nine, [00:14:59.33] while we continue to engage with customers and regulators in PJM, it is important to recognize [00:15:05.97] that our opportunity to drive meaningful upside to our outlook extends beyond any single region. [00:15:13.33] We have a demonstrated track record of delivering powered land solutions to customers in ERCOT, [00:15:19.41] and we see additional opportunities across our broader fleet to build on that success. [00:15:26.13] Importantly, we have sites with available land and a path to grid interconnection, [00:15:31.57] along with a proven ability to successfully navigate the regulatory framework, positioning [00:15:37.65] us well to continue advancing customer solutions. At our three data center projects in Texas, [00:15:44.69] we have customers addressing their reliability commitments both by bringing firm backup [00:15:50.13] generation to cover peak constraints, and in another instance, accepting full curtailability [00:15:56.93] during times of grid stress. These gas-adjacent powered land deals command a meaningful privilege [00:16:04.21] in their own right, and importantly, they allow full access to the grid. So customers could pair [00:16:10.77] them with purchases of firm carbon-free energy from grid-connected nuclear plants, and we are [00:16:16.93] working with customers on those offerings. Now, before I turn to Shane, I want to share an [00:16:22.29] observation about this slide and the Pastoria and Peno Creek development projects that I covered [00:16:29.33] back on slide six. Obviously, all of this good work was underway at Calpine when we bought the [00:16:36.69] company, and when we announced the Calpine transaction little more than a year ago,

[00:16:41.65] we talked about the compatibility and complementary nature of the commercial and retail
[00:16:47.01] businesses. We talked about Calpine's industry-leading natural gas and geothermal assets,
[00:16:53.81] and of course, we talked about its terrific people. But we also shared with you that in the
[00:16:59.49] future we saw coming, Calpine would help to supplement Constellation's existing skills in
[00:17:06.77] new natural gas, solar, and battery storage development, as well as Constellation's abilities
[00:17:14.45] in connection with natural gas data center transactions. And as you reflect on the regulatory
[00:17:21.33] requirements in PJM and ERCA, and in other places, I trust that you can now see how
[00:17:27.81] supplemental development and commercial capabilities will help us to unlock the value of
[00:17:33.41] Constellation's amazing and unique fleet of nuclear natural gas assets in a way that help
[00:17:40.29] our customers and America grow while stabilizing and potentially reducing costs for everyday
[00:17:47.33] American families. With that, let me turn the call over to Shane to talk a little bit more
[00:17:52.61] about our financial performance in the first quarter. Shane?

[00:17:56.93] Thanks, Joe, and good morning, everyone. Beginning on slide 10. For the first quarter,
[00:18:02.05] we earned \$4.49 per share of gap earnings and \$2.74 per share of adjusted operating earnings.
[00:18:10.61] This is \$0.60 per share better than the first quarter of last year and consistent with our
[00:18:15.81] expectations. Higher earnings for the quarter can mostly be attributed to the EPS accretion
[00:18:21.33] from Calpine. As a reminder, our guidance included approximately \$2 per share of accretion
[00:18:27.33] for Calpine on a full-year basis. In addition to incremental earnings from Calpine, results
[00:18:33.33] benefited from higher capacity prices in PJM and lower stock-based compensation expense.
[00:18:39.33] These positives were partially offset by more planned nuclear refueling outage days,
[00:18:45.57] compared to the first quarter of last year, lower ZEC pricing across state programs,
[00:18:50.37] and higher cost-to-serve load associated with winter storm Fern. While the business performed
[00:18:55.89] well operationally through the storm, the extended nature of the event caused the grid operator to
[00:19:01.41] call on operating reserves to support system reliability. Those incremental ancillary charges
[00:19:07.89] resulted in higher costs to serve customer load. Looking to the full year 2026, we are affirming
[00:19:14.21] our adjusted operating earnings range of \$11 to \$12 per share that we provided on March 31st.
[00:19:22.77] Moving to slide 11. Our nuclear performance was once again strong this quarter. We generated
[00:19:29.41] 40 million megawatt hours of firm and emissions-free energy from our operated nuclear plants
[00:19:34.85] with a capacity factor of 92.3%. Our capacity factor included the aforementioned impact of
[00:19:41.65] more planned outage days than typical in the first quarter. Our combined cycle and cogeneration
[00:19:47.57] fleet generated 23 million megawatt hours with a 47.1% capacity factor. It's important to note
[00:19:54.77] that operational metrics differ across these asset types. The thermal fleet is subject to
[00:20:00.05] dispatch signals that vary by weather and system conditions. Operationally, the CCGT and
cogeneration

[00:20:06.93] fleet had a forced outage factor of 5.1%, meaning our units delivered when called upon nearly 95%
[00:20:14.37] of the time. As large load customers, including data centers, come online, we believe our strong
[00:20:20.29] operations will be a differentiator in meeting that increased demand and higher utilization of
[00:20:25.33] existing assets will benefit customers over time. Turning to slide 12. Our commercial team continues
[00:20:33.81] to support our customers by delivering tailored energy solutions that address their evolving needs.
[00:20:39.89] In our business and earnings outlook, we showed customer margins in our base earnings assumptions,
[00:20:44.85] those that we view as highly visible and predictable, that were higher than our previous
[00:20:48.61] disclosures for both the power and gas portfolios. This margin expansion has been driven by three
[00:20:53.89] factors. First, traditional C and I power margins have expanded. Second, the growing customer demand
[00:21:01.09] for carbon-free solutions we spoke to in our outlook adds incremental margin. And third,
[00:21:06.93] incorporating the Calpine retail portfolio further enhances our outlook, reflecting a higher mix of
[00:21:12.61] tailored products in attractive, high-value markets. The scale of our customer solutions
[00:21:18.93] platform has delivered durable value and growing earnings for over a decade. With the addition of
[00:21:25.01] Calpine's retail business, we now serve approximately 275 million megawatt hours of electricity
[00:21:31.73] and 800 BCF of natural gas annually to customers across 40 states. Importantly, most of that volume
[00:21:39.17] is through commercial and industrial customers, including over 80% of the Fortune 100. These are
[00:21:45.41] the customers most likely to recognize the value we bring as a strategic partner with the ability
[00:21:50.69] to tailor solutions to meet their needs, as they are the customers most likely to place a premium
[00:21:55.81] value on the firm clean megawatts produced by Constellation. On slide 13, in our business
[00:22:03.73] and earnings outlook, we outlined expected free cash flow before growth of \$8.4 billion across 2026

[00:22:11.01] and 2027, and how we plan to deploy our cash flow within our established capital allocation [00:22:16.53] framework over that two-year period. Today, I am focusing on our forecast for free cash flow [00:22:22.37] before growth in 2028 and 2029 and providing transparency about how the optionality that [00:22:28.45] we highlighted for our earnings also applies to free cash flow. I think given our track record [00:22:35.25] of success in allocating capital, it's important we highlight projected free cash flow before growth [00:22:41.97] that we expect will be available for a creative deployment. Over 2028 and 2029, we expect to [00:22:48.53] generate between \$11.5 and \$13 billion of free cash flow before growth. Using the midpoint of [00:22:54.93] that range, that represents approximately a 45% increase relative to the \$8.4 billion we expect [00:23:02.53] in 2026 and 2027. On the right side of the slide, we reflect the same opportunities we shared last [00:23:09.41] month, now including what each lever could provide in growing free cash flow before growth [00:23:14.29] on an annual basis started in 2029. These figures are illustrative and not intended to necessarily [00:23:19.97] be additive, but they provide useful context for how the optionality we have highlighted [00:23:24.77] will also drive incremental free cash flow. All of this upside, for both earnings and cash, [00:23:31.09] sits on top of a highly visible and durable base with meaningful growth that exists today, [00:23:36.61] reinforcing the strength of the core business and the optionality we have to create additional [00:23:41.49] long-term value. Turning to slide 14, as Joe mentioned, we got to work right away deploying [00:23:48.45] capital towards share buybacks under our increased authorization, utilizing \$335 million to repurchase [00:23:55.41] about 1.2 million shares, and we will continue to execute opportunistically. Our capital allocation [00:24:02.29] framework remains consistent and disciplined. We are committed to maintaining our strong [00:24:06.69] investment grade credit metrics, investing in growth opportunities across the portfolio [00:24:11.17] that meet our double-digit unlevered return targets, maintaining and growing the dividend [00:24:15.81] at 10% per year, and returning excess capital to our owners. Supported by strong and growing free [00:24:22.69] cash flow, we will continue to apply this framework thoughtfully and intentionally. [00:24:27.81] With that, I'll turn it back to Joe. Thanks, Shane. Good job. So to close, [00:24:32.53] we continue to work hard to deliver value for our owners and the communities in which we operate. [00:24:38.85] For nearly two years, we've navigated regulatory uncertainty alongside of our customers and other [00:24:44.37] stakeholders as they seek to connect large load projects to the grid. And meaningful progress [00:24:50.85] has been made. ERCOT's moved the ball forward, and now it's time for PJM to move the ball forward. [00:24:57.09] We see that once regulatory clarity exists, projects move forward. The light now is clearly [00:25:04.53] visible at the end of the tunnel in PJM, and we'll continue to work constructively with [00:25:09.49] policymakers and market regulators to ensure we arrive at a framework that makes sense for all [00:25:15.17] stakeholders, while also helping to facilitate potential cost relief for American families. [00:25:22.13] Our customers are keen to get moving in PJM, and we're working with them to make that happen. [00:25:28.05] While we await final clarity, our focus remains firmly on execution. We'll continue to operate [00:25:34.85] our assets at world-class levels and deepen our engagement with customers across our platform, [00:25:41.49] including those in the data economy to secure durable, premium priced agreements for our clean, [00:25:47.89] firm, and reliable generation. I want to thank you again for your time this morning, [00:25:52.61] and we'll open it up to questions now. To ask a question, please press star one one on your [00:26:00.66] telephone and wait for your name to be announced. To withdraw your question, please press star one [00:26:06.34] one again. In the interest of time, we just let you please number yourself to one question [00:26:12.50] and one follow-up. Please stand by while we compile the Q&A roster. Our first question [00:26:20.30] comes from David Arcaro with Morgan Stanley. Your line is open. Good morning, David. Hey, [00:26:28.22] thanks so much. Good morning. I was wondering if I could get your latest views on the on the power [00:26:34.54] markets. Maybe Urquhart in particular, you know, just curious your interpretation and viewpoint [00:26:41.90] here as to the weakness in the forwards, even despite some of the very strong, you know, data [00:26:47.90] center activity in the pipeline that we're seeing there. What do you make of that and [00:26:52.94] thoughts on the evolution of that market? David, I think the short answer, I'm going to turn this [00:26:58.22] over to Andrew Novotny here for a moment, but in a moment, but I think the short answer on Urquhart [00:27:03.98] is it's about timing. We've seen that market be all over the place in the last, call it 90, 120 [00:27:11.18] days in terms of pricing. And the real questions are, you know, how much load and when. While [00:27:17.18] there's been a lot of talk about data center and other development activities in Urquhart, [00:27:22.22] it's kind of important to remember that that load isn't yet on the system. It's getting built. [00:27:27.66] And so the timing of that is going to be one driver. And then there is, you know, I think, [00:27:33.98] as you know, an incredibly wide range of forecasted additional potential growth in the Urquhart market

[00:27:41.58] when that comes in and how it's interconnected remain the questions. We think the we think
[00:27:46.62] Urquhart's undervalued and we don't think that the, you know, that the prices in the outer years
[00:27:54.70] in particular make a great deal of sense. But Andrew chime in, you know. Yeah, Joe, I agree
[00:28:00.22] with all that. Maybe just add some just to get specific. You know, when Joe says the market's
[00:28:06.30] undervalued, we're really focused on the 28, 29 and beyond period of time. That's really where
[00:28:11.18] the load growth can come. So, you know, there's been over 400,000 megs of large loads in the queue.
[00:28:19.18] Obviously, we don't expect anything near that. But the Ford market beyond 29, you know, to us
[00:28:25.10] appears like something that's only expecting 10 to 15,000 megs. So if we see numbers like
[00:28:29.66] 30,000 megs, we believe that the market will see upward pressure. In the meantime, in the short
[00:28:34.46] term, we're not surprised by the weakness. And we've been well hedged and protected against it.
[00:28:42.19] Got it. Understood. That's helpful. And then maybe separately wondering if you might be able to
[00:28:48.43] just comment on the current level of state support in Pennsylvania, just a direction around
[00:28:58.27] favorability toward data center activity. You know, we saw the governor recently sending a letter
[00:29:03.87] to the regulated utilities in this in the state, wondering kind of what the posturing is. Maybe
[00:29:09.15] does that shift perspectives on how they see the wholesale market and general impression of,
[00:29:14.91] you know, support for data centers in Pennsylvania? Yeah, look, I, you know, even that letter, which
[00:29:21.31] which obviously pertained to regulated utilities and not entities like Constellation,
[00:29:27.79] referenced the importance of the competitive market. So I think, look, Pennsylvania is very
[00:29:32.35] supportive, has been very supportive of competitive market solutions. The governor was clearly
[00:29:38.75] one of the leaders in terms of the cost cap in an RPM and was likewise one of the leading voices
[00:29:51.47] in the large load, you know, bring your own generation kinds of discussions that we see now
[00:29:58.11] as part of this regulatory proceeding in PJM. But with the exception of those things, you know,
[00:30:05.39] continues to be very supportive under the right circumstances in data economy development and
[00:30:10.91] re-industrialization in Pennsylvania. The governor has spoken about the importance of the jobs and
[00:30:17.55] the economic development for Pennsylvania to be a leader in AI and other technologies under, you
[00:30:23.71] know, the right conditions. So, you know, we see it as continuing to be very constructive, David.
[00:30:32.13] Great. Appreciate the color. Thank you. Thank you. Our next question comes from
[00:30:40.70] Steve Fleishman with Wolf Research. Your line is open. Hi, Steve. Hi. Good morning. So I guess
[00:30:52.02] first on, on crane, any updates on the timeline there and and just what you would be watching
[00:31:00.10] for to suggest that, you know, maybe it comes on sooner than the 2031 connection?
[00:31:07.14] Hey, Steve, it'll come on sooner. I mean, what we're talking about is getting full capacity credit
[00:31:14.02] for the assets. So I don't want anybody to be under the misconception that the plan won't
[00:31:20.02] start sooner. In terms of getting the full capacity credit right now, the ball is actually in
[00:31:26.34] FERC's court. We have filed, as you know, to transfer the CIRs from Eddystone to crane,
[00:31:34.10] which we think will facilitate a 27 capacity credit. We're also continuing to work every day
[00:31:41.38] with the utilities on speeding up the transmission interconnection process, you know, kind of
[00:31:47.22] normally is the case that they start off with a pretty long timeline and shorten that up.
[00:31:52.98] And we're working with the utilities involved here to shorten up these projects
[00:31:57.78] so that we can get on sooner. So that is really the update. We'll know more when we hear back from
[00:32:03.06] FERC. David, do you have anything? I'll ask David Dardis if he's got anything more on that.
[00:32:07.62] No, I just see we're hoping to get a response back from FERC in the June-July time frame.
[00:32:13.38] You also saw that PJM acknowledged the importance of the position otherwise. So,
[00:32:22.16] you know, everything Joe said, you know, I just want to double down on it. Really,
[00:32:26.72] this is about and does not need the DOE order, but we think there was a clear path for FERC to
[00:32:46.32] approve the CIR transfer. Great. And then other question just, it was good to see the buybacks.
[00:32:56.91] We do have this first lockup coming up for the Calpine holders at the end of June. Any kind of
[00:33:04.59] sense on where their heads are at and should we read in anything into the fact you were willing
[00:33:11.55] to buy stock kind of before that kind of came up? Look, I don't think you should read anything into
[00:33:18.03] the fact that we bought early. I think I covered that in the prepared remarks. We thought
[00:33:24.35] that was a very compelling price to be buying back our shares. We're going to be pretty careful
[00:33:29.71] about kind of signaling, you know, how different investors may be acting in this space, but
[00:33:36.75] shame once you provide whatever color you can. Yeah, just to remind folks of the context here
[00:33:42.43] in the consideration for Calpine, we issued 50 million consolation shares to the owners,
[00:33:49.63] 25 million are the lockup expires on June 30th of 2026 and the remaining 25 million are June 30th

[00:33:58.11] of 2027. And so, you know, when we contemplated the \$5 billion authorization, we certainly wanted
[00:34:04.51] to have flexibility to the extent there could be a transaction of note around the lockup,
[00:34:10.99] but to Joe's point, it's really conditional upon what the current owners of the shares want to do.
[00:34:16.35] And so, just in the nature of being prudent, won't speak on their behalf around their intent,
[00:34:22.11] but we will have the flexibility if there's something that makes sense for both sides.
[00:34:28.42] Makes sense. Thank you very much. Thank you, our next question comes from
[00:34:38.16] Sharpe Parissa with Wells Fargo. Your line is open.
[00:34:42.80] Morning, Sharpe. Morning, Joe. Morning, guys. Joe, maybe just starting on PJM, you noted that some
[00:34:49.68] hyperscaler conversations stopped, some continued. Peers have been a little bit more open to working
[00:34:55.36] on deals in parallel with the FERC and PJM process. Is anything preventing having a bilateral deal in
[00:35:03.36] hand before the RBP? I mean, do you need to match new capacity plus existing capacity
[00:35:10.72] to get a contract? No. First of all, there's two questions there, Sharpe. Nothing is stopping
[00:35:20.21] us from moving forward on a deal now. And I think as I indicated during the last update,
[00:35:26.53] we see clients that are interested in doing that. And they figure they'll manage whatever comes out
[00:35:32.21] of the regulatory process with the tools that they have or other purchases. For other clients,
[00:35:39.25] they kind of want to see what this looks like, what the cost implications are, what our solutions
[00:35:44.61] look like, how our solutions pair up with other things they're looking at in the market
[00:35:49.81] before they're going to move forward. So I don't think this is a full stop. I do think it is a
[00:35:57.57] pause to see what this looks like and then a quick resumption, hopefully, of those conversations.
[00:36:05.33] Got it. Okay. Perfect. And then just maybe, Joe, follow up. There's obviously a substantial
[00:36:10.13] amount of cash to allocate, \$5 billion buyback authorized, \$8.4 billion of free cash through
[00:36:15.81] 27 and even higher run rate thereafter. How does that kind of tie into the 50 cents of upside
[00:36:21.81] sensitivity? And do you anticipate incremental investment opportunity to be more creative versus
[00:36:26.85] the 50 cents? Are the alternatives on asset acquisitions limited at this point? Just given
[00:36:32.21] market power, just an overall capital allocation update would be great. Thanks. Sure. I'm going to
[00:36:37.57] turn it over to Shane. Look, I don't know that I don't see it as a competition given our free cash
[00:36:44.05] flow capability at the company. We're going to have organic investment opportunities over 10% IRRs.
[00:36:52.61] We've talked about a number of those things, like the up rates on prior calls. Those things
[00:36:58.05] are going to move forward. But we're also going to be in a position where if our stock is trading
[00:37:03.65] at a level that we think is inconsistent from a value standpoint with the future that we think
[00:37:10.93] we're going to be able to accomplish with all the different levers that are in front of us and
[00:37:15.41] capabilities, then we're not afraid to buy back our shares. But I think at the end of the day,
[00:37:20.05] it's going to be a mixture of all those things. Shane? Yeah, Joe, you said it well. I think,
[00:37:24.93] Shar, what I would say about the 50 cents is where we wanted to ensure that there was
[00:37:29.17] a range or some flexibility is the nature that those investments could take. To the extent that
[00:37:34.53] you're bringing development online, it obviously has a longer period of time until it becomes
[00:37:39.25] accretive. Whereas if it's M&A, obviously in the case of Calpine, of being of scale and you're
[00:37:44.85] adding \$2 per share of EPS a year later. So I think we just wanted to be thoughtful and measured
[00:37:51.49] and help people think through what the range of outcomes would be as you deploy capital at the
[00:37:57.25] right return profile. And that could take a number of different shapes and sizes. But the 50 cents
[00:38:03.01] was intended to be illustrative based on assumptions you could make on that capital allocation.
[00:38:08.85] Got it. Super helpful caller, guys. Thanks so much. Appreciate it.
[00:38:15.84] Thank you. Our next question comes from Nicholas Campanella with Barclays. Your line is open.
[00:38:24.75] Hey, good morning. Thanks for taking the questions and all the updates. I wanted to ask,
[00:38:29.55] I appreciate the free cash flow clarity out to 29. I mean, could you maybe just talk a little bit
[00:38:35.79] about the cash conversion between EBITDA and free cash through 29? And as you get some of these
[00:38:42.35] projects up and running, like Crane is going to ramp and a few other things in the back end
[00:38:46.03] of the plan, how do you kind of think about cash conversion? I mean, it's not going to change
[00:38:54.16] materially from what you've seen historically with regard to the nature that most of the cash
[00:38:59.28] contribution is from the nuclear fleet. So if you think about the appropriate assumptions around
[00:39:05.20] cash tax, maintenance capex, how you're accounting for fuel, the conversion won't look significantly
[00:39:12.88] different than historical. What I would highlight is to the extent we're able to
[00:39:17.44] execute those levers identified in that conversion between the EPS and free cash flow,
[00:39:23.12] a lot of that you'll see drops to the bottom line. Those aren't requiring incremental

[00:39:27.52] investments. And so a lot of those are really just a tax adjustment from the earnings to cash flow.
[00:39:35.60] Okay. No, thanks for that. And then I wanted to ask just on the new capacity resources,
[00:39:40.72] you're highlighting about 5 gigawatts into the interconnect queue between upgrades and natural
[00:39:47.76] gas and battery storage. And just how does that kind of compare to where you were in the March
[00:39:52.16] 31st update? I know you spoke about some idle turbines then, and are you willing to kind of
[00:39:57.28] commit to more new build in this plan here? And how should we kind of think about the threshold
[00:40:02.00] for that? Thanks. Look, I think it probably is a good bit more just because we're adding in some
[00:40:09.60] of the calpine capability. But at the end of the day, in terms of how we're going to utilize it
[00:40:18.00] or what's going to move forward, I think we're also waiting to see a little bit more from PJM
[00:40:23.28] in terms of what projects will qualify and also where they are in the queue process.
[00:40:31.36] But I don't know that at this point we're in a position to commit anything until we get a little
[00:40:39.04] bit more detail from PJM on the backstop proposal and obviously get further along on contracts that
[00:40:47.04] might call for some of our resources as part of the bilateral agreements we enter into.
[00:40:54.24] Thanks for the thoughts. Thank you. Our next question comes from Julian DeMullen Smith with
[00:41:05.06] Jefferies. Your line is open. Hi, Julian. Hey, good morning, team. Hey, thanks for the time.
[00:41:11.22] Appreciate it, Joe, team. Just maybe to follow up a little bit about the conversation we were
[00:41:15.06] having about the cadence of things, how do you think about Calvert here versus Limerick or versus
[00:41:21.06] any other permutation? Is there sort of given the evolution of the regulatory dialogues you've had,
[00:41:25.22] is there a specific direction? Obviously, we heard more about Calvert in recent weeks from you all
[00:41:29.38] at the analyst day. How would you just set expectations around that? And then to go back
[00:41:33.38] a little bit to this conversation, is there like a specific ratio that you guys think about,
[00:41:37.54] in terms of additionality, or how does the curtailment demand response piece, you know,
[00:41:42.50] you guys just did this net metering thing in Texas, for instance, but how does that play out
[00:41:46.02] into kind of firming up a specific process to be able to move forward on this? Yeah, Julian,
[00:41:50.66] I'm going to give you a bit of a non-answer on the first one on who's going to get through the
[00:41:55.46] finish line first as between any different site. We mentioned Calvert because as folks probably
[00:42:03.86] undoubtedly saw later on during the course of the day when we did the business outlook, there
[00:42:09.46] was a newspaper article on it. And so we wanted to share some thoughts before the newspaper article
[00:42:14.98] came out. But otherwise, we're going to let our customers announce transactions when they're
[00:42:22.02] ready to announce transactions as opposed to us doing it here. In terms of how folks are going
[00:42:28.10] to manage it, Julian, and what the ratio of new to existing might be, I think we're going to see
[00:42:35.06] a mix is my personal opinion. We talked a little bit about the Texas deals during our prepared
[00:42:42.90] remarks today. And I think that's a pretty good indicator of how wide this range could be from
[00:42:49.54] folks who are completely comfortable with using backup generation or other curtailment tools that
[00:42:55.94] they might have to manage. Keep in mind that these are sophisticated buyers that in many instances
[00:43:02.90] are already out there buying things like battery storage and solar and other things. So sometimes
[00:43:08.58] they're coming into these transactions with some existing contracts. And you remember when Jim
[00:43:16.66] McHugh was talking a couple of years ago about our CFE, our original CFE agreements, the first one
[00:43:22.90] with Microsoft, in fact, is exactly that situation where somebody came in through the door and said,
[00:43:28.50] look, we've got this big portfolio. We want you to manage it and then set it up so that we have
[00:43:35.46] really around the clock 24 seven environmental attributes. So we have clients that'll walk in
[00:43:42.18] with that capability, I think all the way to clients that are going to want things like demand
[00:43:46.82] response and backup generation. But the mix is going to be interesting because I think it's going
[00:43:53.14] to be different for different customers in terms of their ability to handle curtailment
[00:43:58.98] and their willingness to handle curtailment. I'll make another point. And I think the data
[00:44:04.34] centers themselves are going to increasingly be able to manage some of the curtailment risk by
[00:44:12.18] moving data economy jobs around. So as you think about the US as data centers proliferate
[00:44:20.18] in different regions, I think it's going to give them the ability to identify jobs that don't
[00:44:27.22] either have to happen at peak hours of energy consumption or to be shipped away to other data
[00:44:33.70] centers in different regions of the country that might not be experiencing a reliability issue
[00:44:40.50] at that moment in time. So I just think the landscape is changing. And I think we're going
[00:44:45.46] to see a mixture of solution sets that is going to be really broad, all the way from people being
[00:44:52.18] able to manage curtailment by shifting jobs and doing that sort of thing, depending on that data
[00:44:57.62] center, all the way to people who are going to need backup generation for every single megawatt

[00:45:03.70] of the data center in terms of peaking capacity. And so I just think any attempt to kind of
[00:45:09.62] generically say this is the ratio is kind of a fool's errand at this point based on what we know
[00:45:15.62] of the market. Yeah, I totally hear you. I respect that. And just as a quick follow-up,
[00:45:21.30] you talk about clarity a lot in the prepared remarks and otherwise here. Is there a specific
[00:45:26.10] threshold docket you're looking for to really unlock things? At the same time, I heard you in
[00:45:30.58] the Q&A comments saying, look, other customers are working for it on this anyway. Is there a moment
[00:45:35.70] that you think that you get this docket resolved and that could have unleashed some of this? Or
[00:45:39.62] again, as you suggested earlier, some of them and some may or may not be waiting for said deadlines?
[00:45:44.90] Yeah, again, I don't want to speak for all of them. I think just the mirror filing will be clarity
[00:45:51.14] for some because they'll anticipate given where the FERC has been on. And I think the FERC clearly
[00:45:57.46] has an appetite for moving quickly here. So I think the details of the filing themselves have
[00:46:04.98] been helpful already. But I don't know. At some point in time, some of these guys may wait
[00:46:12.10] all the way to the end of the backstop proceeding. If they have a co-location idea that they're
[00:46:19.86] working on, it might need to wait for the co-location filings and for FERC's final order
[00:46:26.50] on that. The important thing is we're seeing speed here that is really, I've been doing this
[00:46:32.58] 20 plus years with PJM. And I'm seeing this stuff move at a speed that is really unprecedented.
[00:46:39.06] The only other time I saw anything move with this kind of speed was when we had some of the
[00:46:46.58] RPM changes when PJM first adopted the internal rules that allowed them to move forward in an
[00:46:53.62] expedited way without a stakeholder vote. So we're seeing a commission that anxiously wants to
[00:47:01.06] solve this. They understand the importance of getting this right, but also the importance of
[00:47:06.10] the data economy to America. And that's very, very clear. The administration is clearly focused
[00:47:12.66] on this. And we're seeing PJM act very quickly here. I would like to see the co-location
[00:47:19.30] implementation date, which PJM had indicated was 2029. I'd like to see that moved up.
[00:47:27.30] And I think on that we're aligned with the signals that are coming out of FERC,
[00:47:32.02] but stuff is moving very quickly and I expect we'll have clarity on all these issues by the
[00:47:37.14] end of the year. Yeah, absolutely. Appreciate it. Good luck. Yeah, thanks. Thank you. Our next
[00:47:50.21] question comes from Jeremy Tonette with JP Morgan Securities. Your line is open. Hi, thanks. Thanks
[00:48:02.32] for all the details today. I was wondering if I could ask a question, a bit of a high level
[00:48:05.92] to start off here. You know, looking at the white paper last week out of PJM powering reliability
[00:48:10.56] through market design. And wondering if you were able to provide any initial reactions to paths A,
[00:48:17.20] B, and C. Just any high level thoughts would be welcome. Let me turn it over to David Dardis
[00:48:24.00] for his thoughts on that. Yeah, hey Jeremy, thanks. So, you know, we certainly appreciate PJM
[00:48:30.72] issuing the white paper and acknowledging the need to revisit its market rules and frankly,
[00:48:36.96] its commitment to competitive markets for ensuring reliability. You know, a lot of what's
[00:48:43.44] in that white paper are things we've talked to PJM for a number of years about, including in
[00:48:47.84] particular optimizing the energy and reserve markets together and as much reliance as it's had
[00:48:54.00] on capacity markets for a number of years. So we think that's very positive. In addition,
[00:49:03.79] we've been very supportive. We've been talking for at least two years to anyone who will listen
[00:49:08.35] to us about bilaterally contracting and firming up their supply given what we saw on the horizon
[00:49:13.79] around rising energy prices. And so we think that's also quite positive. As it relates to option B
[00:49:19.71] and the differential reliability, I think that one needs some more, we need some more time to
[00:49:24.27] digest that and think about what that could potentially mean. We certainly agree with the
[00:49:29.07] flexibility of load being a very important solution going forward in the marketplace.
[00:49:34.35] But, you know, as some sort of a permanently, you know, put in the rules,
[00:49:39.79] discriminatory treatment of different loads around their reliability, there's some real legal
[00:49:47.95] questions embedded in that one and that's going to require some more consideration. And the reserve
[00:49:59.76] market and co-optimizing that, that we see is quite positive. And Jeremy, that's something we've
[00:50:06.00] urged them to do for a long, long time. And frankly, something that PJM has put on the
[00:50:12.64] back burner to its detriment. Look, there are two things that got us into the pickle we're in.
[00:50:18.32] One is capacity prices were ridiculously low because we weren't considering the actual
[00:50:25.84] capacity capabilities of the resources adequately. That has changed. And we saw a pop-up in capacity
[00:50:34.48] prices that should have been managed better all along. The other thing that should have been
[00:50:38.16] managed better all along is that more of the revenue should have been recognized in the energy
[00:50:43.60] market, putting less strain on the capacity market, which, you know, as we've learned could

[00:50:49.92] be punitive to residential customers. So it's good to see in this white paper that these issues
[00:50:57.76] are back in front of PJM. That's where they need to be. Competitive market solutions are going to
[00:51:04.16] be the right answer. These markets need to enable that quickly. And so, you know, hopefully PJM
[00:51:12.40] actually follows up with real action on the white paper, but they're going to be pressed. I mean,
[00:51:18.56] I think this commission is very hot to trot on getting clarity and getting this stuff settled
[00:51:24.32] very quickly. And so PJM's got to keep moving this issue forward.
[00:51:29.87] Got it. That's very helpful. Pricing scarcity is difficult. That's it for me. Thanks.
[00:51:33.71] It is.
[00:51:40.66] Thank you. Our final question comes from Nick Amakuchi with Evercore ISI. Your line is open.
[00:51:50.34] Hey, guys. Thanks. Good morning. How are you guys? Just wanted to get a sense just on the
[00:51:58.34] near-term kind of nuclear upgrades. How near-term are those? And when are we kind of · well, what's
[00:52:05.54] kind of baked into the 2029 assumptions?
[00:52:12.26] All right. So the ones that are in plan are Byron and Bravewood as a general rule.
[00:52:19.70] And is there anything else in the plan right now?
[00:52:23.78] None of the upgrades · the capital is out the door, but nothing is showing up as EPS
[00:52:28.74] secretion in 2029. 2030 is the earliest that they'll add to EPS.
[00:52:35.94] Except for Byron and Bravewood, the turbines that are better in plan.
[00:52:39.86] That's perfect. And then just giving kind of the strong results in the first quarter,
[00:52:47.23] right? You guys have mentioned they were relatively in line with your expectations,
[00:52:51.79] but historically we've seen kind of the biggest question mark around the first quarter. So just
[00:52:57.63] wanted to get a sense, I guess, where · what would you guys need to see kind of going forward
[00:53:04.27] to get kind of more confidence in the upper half of the range? And understanding, you know,
[00:53:08.75] you just spoke a little over a month ago. Oh, look, at least another quarter. We · when
[00:53:15.47] you think about the timing of our business update call, we were well into the first quarter,
[00:53:19.55] so we had a pretty good sense of how the quarter was going to come out when we set guidance initially.
[00:53:26.91] Great. Well, thanks, guys. All right. Operator,
[00:53:34.61] are there any additional calls or questions? Excuse me.
[00:53:37.73] Thank you. I'm showing no further questions at this time. This does conclude the question
[00:53:43.49] and answer session. I would now like to turn it back to Joe Dominguez for closing remarks.
[00:53:49.25] Well, just thanks again, everybody, for your interest in Constellation. We had a good first
[00:53:53.89] quarter. Thanks to our folks. We'll continue to strive to execute through the balance of 26,
[00:53:59.09] and we'll talk again in about 90 days. Operator, we'll end the call.
[00:54:05.15] Ladies and gentlemen, thank you for participating on today's call.
[00:54:10.91] This concludes today's program. You may disconnect. Everyone, have a great day.